

ASCII MASTER FLOW – PANEL 1/12: Budget-to-beneficiary chain

1 BUDGET -> appropriation, scheme approval, outlay; failure: an unrealistic outlay
2 RELEASE -> Union to State or agency, just-in-time via e-Kuber; failure: delay, float
3 AGENCY -> agency receives, incurs and reports; failure: diversion and idle balance
4 PROCUREMENT -> goods, works and services under the rules; failure: specification, cartel
5 BENEFICIARY -> transfer or service delivered; failure: exclusion, last-mile cash access
6 OUTCOME -> did the money change anything; failure: outputs counted in place of outcomes
MUST REMEMBER: Public finance for service delivery follows need and entitlement,...

ASCII MASTER FLOW – PANEL 2/12: The tool stack and the problem each solves

JAM -> the precondition: a verifiable person, a usable account, a notification channel
DIRECT BENEFIT TRANSFER -> identity-based leakage from fake, duplicate, ineligible entries
PUBLIC FINANCIAL MANAGEMENT SYSTEM -> diversion and idle balances at the agency level
SNA-SPARSH -> float and advance parking in the centrally sponsored scheme release chain
GENERAL FINANCIAL RULES, 2017 -> procedural discipline over sanction and procurement

ASCII MASTER FLOW – PANEL 3/12: The JAM foundation

JAN DHAN -> universal bank-account access as the destination of a transfer

AADHAAR -> unique identity that makes individual-level de-duplication possible

MOBILE -> the transaction and notification channel that closes the loop

LIMIT -> an account that exists is not always an account the holder can actually use

ASCII MASTER FLOW – PANEL 4/12: Scope card for authenticated transfer

CASH -> transfers credited to an individual verified beneficiary account

IN KIND -> benefits delivered through authenticated systems rather than credited

SERVICE ENABLERS -> certain transfers made to those who enable the service

SCOPE ERROR -> equating the instrument with cash transfer alone

ASCII MASTER FLOW – PANEL 5/12: Release architecture succession

2021 -> Single Nodal Agency model: designated agency and account per scheme

13 JULY 2023 -> Office Memorandum No. 1(27)/PFMS/2020 introduces SNA-SPARSH

10 JUNE 2025 OM -> thirty-seven further schemes brought in from 1 July 2025

1 NOVEMBER 2025 -> applies to all such schemes in States and Union Territories with legislatures

BOUNDARY -> applicable from is provable; operational in all is not

ASCII MASTER FLOW – PANEL 6/12: Just-in-time release mechanism

INTEGRATION -> Public Financial Management System plus State IFMIS plus RBI e-Kuber
RULE -> Union and State shares released together against an actual expenditure claim
GAIN -> idle float and advance parking are removed from the release chain
COST -> State cash-planning buffer is lost and agency reconciliation load rises
CLOSE DISTINCTION: Budget allocation is not release, release is not expenditure,...

ASCII MASTER FLOW – PANEL 7/12: Error matrix

E1 INCLUSION ERROR -> an ineligible person receives; cause: fake, duplicate, outdated lists
E1 INSTRUMENTS -> authentication, de-duplication, verification; cost: raises E2
E2 EXCLUSION ERROR -> an eligible person is denied; cause: authentication and seeding failure
E2 CORRECTIVES -> offline fallback, named exception officer, list revision, timed grievance

ASCII MASTER FLOW – PANEL 8/12: Which error the state chooses to bear

E1 -> a fiscal cost falling on the exchequer and recoverable in later years

E2 -> a subsistence cost falling on one person in the year the benefit was needed

-> FOR FOOD, PENSION AND WAGE ENTITLEMENTS the asymmetry favours tolerating some E1

-> INCIDENCE: worn fingerprints, elderly users and low-connectivity areas bear E2 first

ANSWER MOVE -> say which error the design optimises against and why

ASCII MASTER FLOW – PANEL 9/12: Three failures, three instruments

LEAKAGE -> benefit diverted to someone not entitled; instrument: de-duplication, tracking
EXCLUSION -> benefit never reaches an eligible person; instrument: fallback and grievance
INEFFICIENCY -> benefit delivered at excessive cost; instrument: procurement and design
ERROR -> merging all three into plugging the leakages produces recommendations that fail

ASCII MASTER FLOW – PANEL 10/12: Procurement failure and integrity map

SPECIFICATION -> over-specified or vendor-tailored terms narrow the field before bidding

COMPETITION -> single-bid and limited-competition outcomes remove the price discipline

SELECTION -> lowest-cost selection for quality-dependent services buys the wrong thing

AFTER AWARD -> weak contract management and thin technical evaluation capacity

INTEGRITY -> disclosure, debarment, independent complaint handling, audit of the award

TRADE-OFF -> tighter rules raise integrity, lengthen timelines and deter capable suppliers

ASCII MASTER FLOW – PANEL 11/12: Local-body finance three-source test

SOURCE 1 -> own revenue raised by the local body itself

SOURCE 2 -> State devolution on State Finance Commission recommendations

SOURCE 3 -> Union Finance Commission grants under Article 280(3)(bb) and Article 280(3)(c)

TEST -> dependence on source three alone is spending capacity without fiscal autonomy

CONDITION -> audited accounts, predictable release, transparent formula, public disclosure

ASCII MASTER FLOW – PANEL 12/12: Answer spine for a financial-flow demand

OPEN -> name the stage of the chain the stem occupies and the failure that belongs to it

BUILD -> assign each tool its own problem, mechanism and limitation, never one system

CORRECT -> separate leakage, exclusion and inefficiency and state which error is borne

CLOSE -> graded verdict with the reporting-date caveat and no dashboard total asserted

EVIDENCE LIMIT: AUTHORITY / IMPLEMENTATION: Use PFMS, DBT, Government e-Marketplace,...